

Financial Accounting (AF 1002)

(All sections BSAF/BBA/BSBA/BFT)

Sessional-I Exam

Total Time: 1 Hour

Total Marks: 35

Total Questions: 5

Date of Exam: 23 February 2026

Course Instructor(s)

Ms. Saleena Gul	Mr. Azam Saleem
Ms. Ghulam Fatima	Mr. Rizwan ul Hassan
Ms. Farwa Zahra	Ms. Faiqa Waqar
Mr. Amir Gill	
Mr. Rashid Minhas	
Mr. Touseef Ahmad	

Zainab Khatif
Student Name

254021
Roll No

2C
Section

22
Student Signature

Instruction/Notes:

1. Attempt all questions. Read the question carefully, understand the question, and then attempt it.
2. Present your answers clearly. Marks may be lost for untidy work.
3. Marks will be awarded for proper layout.
4. Enter your roll number in the space provided above and return the question paper along with the answer booklet.
5. You are not allowed to ask any questions from the invigilator regarding the paper. If in doubt, make and list assumptions and carry on
6. Show all workings
7. Calculator sharing is strictly prohibited.
8. Use permanent ink pens only. Any part done using soft pencil will not be marked and cannot be claimed for rechecking.

CLO 1: Describe the regulatory framework of financial reporting (BT: Understand)

CLO 2: Identify and apply qualitative characteristics (BT: Understand)

Question 1 (7 marks)

What do you understand by the Regulatory Framework of Accounting? Name and describe three elements of the regulatory framework.

National University of Computer and Emerging Sciences
Lahore Campus

CLO 3: Demonstrate an in-depth understanding of the double-entry system (BT: Apply)

CLO 4: Record a variety of transactions and events (BT: Apply)

Question 2 (7 marks)

Star Cricket Club's statement of financial position at 31 December 2024 includes the following information:

	\$
Stadium cost	3,000,000
Depreciation	(1,650,000)
Carrying value	1,350,000

Depreciation has been provided at 5% on the straight line basis.

The stadium is revalued on 1 January, 2025 to \$4,500,000. It was decided to charge depreciation on the revalued asset at 10% per annum from 2025 onward.

Required:

- Prepare journal entries to record the revaluation. (4 marks)
- What is the depreciation charge in the income statement for the year ended 31 December 2025? (3 marks)

CLO 3: Demonstrate an in-depth understanding of the double-entry system (BT: Apply)

CLO 4: Record a variety of transactions and events (BT: Apply)

Question 3 (5 marks)

AB Manufacturing purchased a special machine in 2018. The machine, which cost \$311,560, was expected to last ten years, with an estimated residual value of \$31,560.

After two years of operation (and depreciation charges using the straight-line method), it became evident that the machine would last only five more years. The estimated residual value, however, would remain the same.

AB Manufacturing's accounting year runs from January 1 to December 31.

Given this information, draw up the Accumulated Provision for Depreciation account for the years 2018, 2019 and 2020.

CLO 3: Demonstrate an in-depth understanding of the double-entry system (BT: Apply)

CLO 4: Record a variety of transactions and events (BT: Apply)

Question 4 (12 marks)

Dolby's balance sheet at 31 December 2023 reported motor vehicles as follows:

Cost	Accumulated Depreciation	Carrying Value
\$	\$	\$
170,000	62,000	108,000

During the year to 31 December 2024, Dolby:

1. Scrapped a vehicle which had been bought in January 2021 at a cost of \$9,600.
2. Part exchanged an old car for a new car. The car had been bought in September 2022 at a cost of \$14,400. The part exchange value of the old car was \$8,400, and the total cost of the new car was \$17,610. The balance cost was paid by cheque.

Dolby provides a full year's depreciation in the year of purchase of an asset, and no depreciation is charged in the year of disposal. Depreciation of motor vehicles is at a rate of 25% per annum on a reducing balance basis.

Required:

Prepare the following ledger accounts for the year ended 31 December 2024:

- a. Motor vehicles (3 marks)
- b. Accumulated provision for depreciation of motor vehicles (5 marks)
- c. Disposal of motor vehicles (4 marks)

CLO 3: Demonstrate an in-depth understanding of the double-entry system (BT: Apply)

CLO 4: Record a variety of transactions and events (BT: Apply)

Question 5 (4 marks)

On 1 July 2024, Beta Co. purchased a patent for \$50,000. The patent has an estimated useful life of 5 years and a legal life of 8 years. The company uses the straight-line method of amortization.

Required:

- a. Calculate the amortization expense for the year ended 30 June 2025 (3 marks)
- b. Determine the carrying amount of the patent at 30 June 2025 (1 mark)